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US equities slip as yields rise and energy gains

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

All major indices edged lower on Thursday, with the `S&P 500` down 0.02% and the `Nasdaq 100` off 0.31%. The slide reflects a modest re-pricing of the 10-year Treasury after the yield fell to 5.22% and a renewed focus on energy as `XLE` rallied +1.80% on higher crude.

Behind the headline, the market is being pulled apart: technology remains resilient on strong earnings from `NVDA` and `META`, while financials and health-care are under pressure from a weaker dollar and higher rates. The VIX held near 15, suggesting limited panic but a watchful stance ahead of next week's FOMC minutes.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,805.45	-0.02%	Yield dip to 5.22% lifted bonds, offset by profit-taking in tech.
Nasdaq 100	30,569.48	-0.31%	Mixed earnings; NVDA up but broader chip sell-off.
Dow Jones	51,670.10	-0.35%	Financials and industrials weighed by higher rates.
Russell 2000	2,783.37	-0.40%	Small-cap sensitivity to rate outlook.
VIX	15.27	+0.39%	Flat-line volatility as markets digest macro data.
10Y Yield	5.22%	-0.44%	Bond demand after weaker dollar.
WTI Crude	94.53	+0.41%	OPEC+ supply-cut optimism.
Gold	4,181.60	+0.10%	Safe-haven demand amid rate uncertainty.
DXY	102.12	-0.06%	Dollar weakness supports commodities.

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+2.63%	Strong ad-revenue beat, AI ad products rollout.
NVDA	+0.97%	Data-center demand and new H100 launch.
AVGO	+0.73%	Supply-chain resilience report.
AAPL	+0.09%	Service revenue steady, no new product shock.
MSFT	+0.43%	Azure growth exceeds expectations.
AMZN	-0.37%	Retail sales miss, logistics cost pressure.
TSLA	-0.74%	Production slowdown at Giga Texas.
JPM	-0.86%	Net interest margin compression.
GS	-0.23%	Investment banking pipeline lagging.

Sector rotation

ETF	DAY	READ
XLF	-0.42%	Financials under pressure from rate-squeeze.
XLK	-0.04%	Tech mixed; AI gains offset by chip sell-off.
XLI	-0.28%	Industrial slowdown signals.
XLE	+1.80%	Energy rally on higher crude.
XLY	+0.08%	Consumer discretionary flat-to-positive.
XLC	+0.74%	Communications benefit from ad spend.
XLP	-0.26%	Consumer staples modestly down.
XLV	-1.35%	Health-care hit by higher drug-cost outlook.
XLU	+0.58%	Utilities steady, defensive tilt.
XLB	+0.57%	Materials buoyed by commodity prices.
XLRE	-0.21%	Real-estate pressured by rate rise.

Spotlight: energy sector surge

The energy ETF **XLE** posted the day's biggest gain, +1.80%, as crude oil climbed to 94.53 USD per barrel. OPEC+ reaffirmed its voluntary cuts, and U.S. crude inventories fell 3.2 million barrels, reinforcing bullish sentiment.

METRIC	VALUE
WTI Crude	94.53
Brent	99.12
U.S. Inventories (week)	-3.2 MM bbl
OPEC+ Cut Commitment	2.2 MM bbl/day
Energy ETF Volume	+27 % YoY

Related names: **XOM** (+1.4%), **CVX** (+1.2%), and **COP** (+1.6%). The rally may spill into industrials if oil-linked input costs stabilize.

Pre-market & overnight

- US futures: **ES** -0.15%, **NQ** -0.28% at 08:30 HKT.
- Asia close: Hang Seng -0.62%, Shanghai Composite -0.48%.
- Europe: FTSE 100 -0.34%, DAX -0.41% after ECB minutes.
- Crypto: BTC +2.00% at 83,400.79, ETH +2.36% at 2,502.02.

Macro & Fed

The FOMC left rates unchanged at 5.25-5.50% but signaled a possible pause pending inflation data. The 10-year yield slipped to 5.22% forming a modest flattening curve.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.2%	Gauge inflation trajectory for Fed.
10:00	U.S. Retail Sales	+0.3%	Consumer spending health.
11:15	Eurozone GDP Q3	+0.1%	Euro area growth outlook.
13:45	China Manufacturing PMI	48.5	Signal of global demand.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, oil supply risk premium remains.
- China: PBOC kept the 7-day repo rate at 2.2% amid weak export data.
- Europe: EU-UK trade talks progress, but regulatory divergence persists.
- Latin America: Brazil’s fiscal reform bill passed, boosting risk appetite.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	`INTC`	2.15	Chip demand rebound, AI margin.
02:30	`BAC`	1.12	Net interest margin trend.
03:00	`UNH`	23.40	Medical-inflation cost impact.
03:30	`DIS`	1.05	Streaming subscriber growth.
04:00	`PYPL`	0.78	Transaction volume recovery.
04:30	`CRM`	3.02	AI-driven SaaS adoption.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI chip demand accelerating.
META	Communication	Ad-revenue beat, AI ad tools.
XOM	Energy	Oil rally, dividend yield 5.6%.
CVX	Energy	Higher crude, share buyback.
JPM	Financials	Rate-sensitivity, loan growth.
UNH	Health-care	Premium pricing power.
AMZN	Consumer Discretionary	Cloud margin expansion.
TSLA	Consumer Discretionary	New model rollout, battery cost.
BAC	Financials	Deposit growth, NIM outlook.
PYPL	Technology	Transaction volume rebound.
CRM	Technology	AI-driven upsell potential.
DIS	Communication	Streaming subscriber trends.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI above 0.3% could reignite rate-hike expectations.
- Sharp drop in crude below $90 breaching energy support.
- Escalation in Middle-East tensions disrupting supply chains.

BEARISH TRIGGERS

- Continued strength in AI-related earnings pushing tech higher.
- Further dollar weakness (<102) boosting commodities.
- Positive FOMC minutes signaling a pause on tightening.

Positioning notes

- Maintain a modest tilt to energy and materials as commodity prices trend upward.
- Reduce exposure to rate-sensitive financials until yield curve stabilises.
- Allocate selectively to AI-centric tech names with strong cash flow.

Sources

SOURCES

Bloomberg Markets

Reuters Finance

CME Group Data

Federal Reserve

OPEC

SEC EDGAR